THE ROLE OF GOVERNMENT

The British and Allied statesmen who were primarily responsible for the establishment of the Palestine Mandate -- Lloyd George, President Wilson and Lord Balfour -- shared a conception of Government which involved a positive responsibility for social and economic betterment. That conception has not been conspicuous in the actual operation of the Government of Palestine. The primary concern of the Government of Palestine has been "the maintenance of law and order" -- an endeavor in which it has not been brilliantly successful.

Economic expansion of the order that will be required to absorb 1,125,000 Jewish immigrants into productive activity during the next decade -- while raising the standard of living of the Arab population -- is quite inconceivable without a new, aggressive leadership by Government. A more intensive agriculture must be developed, which will require Government assistance in land reform, research, training and financing. Irrigation, on which Government has done almost nothing for a quarter century, will have to become a primary area of Government activity. Fuel prices, power rates, and the possibilities of developing lower-cost power -- from both thermal and water sources -- will need to become Government concerns. Government will have to develop an active commercial policy to secure equal access of Palestinian products to foreign markets and to prevent foreign dumping in Palestine. To narrow the social cleavage between the Arab and Jewish peoples, the standard of Arab health services (supplied by Government) will need to be raised gradually to the level that the Jews have provided from their own resources. Most fundamental of all, the education of the Arab population, at present 70 percent illiterate, will have to undergo a revolutionary expansion.

The present Palestinian fiscal system is inequitable and of a character to act as a disturbing rather than a stabilizing factor with respect to the general level of economic activity. The monetary system has never been conceived as an instrument of development